

The Odds Are Even, the Price Is Not

September is a coin flip and volatility is trading at the floor of its range; those two facts do not sit together.

THE READING

Christopher Waller said on Thursday that he is willing to hold in September if disinflation continues. CME FedWatch odds of a 25bp hike on 16 September fell from about 62% to roughly 50%. The two-year yield fell 3.1bp to 4.340%, the dollar index fell 0.58%, gold futures rose 2.84% and Bitcoin rose 5.37%. The S&P 500 closed at 7,747.71, up 1.06%, above the top of Hedgeye's 7,602–7,744 range. The VIX closed at 14.31, down 5.79%, on the session low, at 12.2% of its own 14.01–16.47 band. That is relief. The distribution of prices has two outcomes of equal weight, and August payrolls print in a few hours after July's –23k.

WHAT WISDOM WOULD SAY

In 1654 Pascal and Fermat exchanged letters on how to divide the stakes of a game broken off before the end — the problem of points. The customary answer awarded the pot to whoever was ahead when play stopped. They divided it by the endings still available: what settles the value of a position is not the score but the distribution of outcomes remaining. That exchange founded the mathematics of expectation.

Thursday's tape divided the stakes by the score. One sentence moved the odds from 62 to 50 and every asset repriced as though the game had shortened. But a coin flip is the least informative distribution there is. It gives no direction, and it does not narrow the spread of endings — it puts full weight on both. Hike-or-hold at 50/50, with the 11 September CPI still unread, carries more remaining variance than 62/38, not less. Price and probability moved together on Thursday. Only one of them was entitled to.

THE RISK IT JUSTIFIES

An index closing 3.7 points through the top of its own range, on a macro headline, hours before payrolls, is not a place to add. Nor is 14.31 a level at which to sell insurance: the payoff on short volatility is worst exactly when the odds are even and the calendar is dense. Sitting still is a position, and today it is a defensible one.

What this does not justify is the opposite trade. Even odds argue against conviction in either direction, so a short into strength is the same error with its sign reversed. The one thing worth doing before the open is writing down what the 11 September CPI would have to print for the hold to survive — now, while the number is unknown and the answer cannot be read backwards off the tape. A payrolls figure outside the +50k to +58k consensus, either way, would put information back into a distribution that currently has none.

Which of your positions would you still hold if the coin had landed the other way?